The Linkages Between Corporate Governance and CEO Succession:

A Theatrical Episode, A Theoretical Framework and An Analytical Model

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Abstract

CEO successions are universal episodes in the organisations that last long enough. In this paper, we deal with the issue of CEO succession from theoretical and analytical perspectives. We follow a three-stage methodology. First, we reconstruct the theatrics of succession at the Axis Bank. In the second stage, we propose a modified version of the standard Structure-Conduct-Performance (S-C-P) as the relevant theoretical framework for examining organizational preparedness for CEO succession. Finally, we implement a simulation of the Analytical Hierarchy Process (AHP) technique with a view to delineating the relative strength (weights) of the various performance related, process related and antecedent related variables impinging upon CEO succession. We posit CEO succession as a governance issue and recommend, among other things, mandatory disclosure of CEO succession plans.

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Executive Summary

- The responsibility for appointing, evaluating, remunerating and planning for CEO succession lies with the Board of Directors. Studies however, show that in majority of the cases boards do not have emergent, short term and long term plans for CEO succession. Succession drama at Axis Bank is a manifestation of the general neglect of the issue.

- The succession drama at the Axis Bank throws up a host of issues pertaining to CEO succession, viz., incumbent's psychology, CEO-Chairman Duality, Board accountability, successor selection method and the role of regulatory bodies.

- In the process of developing a theory out of the case method, we identify four main strands of research on succession planning, viz., (a) impact of firm performance on CEO succession/ turnover (b) impact of the distribution of power between the CEO and the board on succession (c) the relative effectiveness of internal and external sources of recruitment, (d) the relationship between CEO and strategic change and the succession related consequences. Existing research deals with these issues in a fragmented manner. The research question is whether an integrative theoretical model can be developed?

- On the premise that the search for a theoretical paradigm for explaining any organizational event or episode (CEO succession in the instant case) must start from the theory of firm behaviour, we examine the possibility of using the Structure-Conduct- Performance framework. We introduce modifications in the basic conditions, market structure, conduct as well as performance variables.

- For the purposes of capturing the influence of a host of variables on succession planning and toward the development of an Empirical Measure of Corporate Preparedness for CEO Succession (EMCPCEOS) we take recourse to Analytical Hierarchy Process (AHP), a technique for quantifying the influence of a myriad of variables on a decision-situation.

- The AHP simulation shows that among the principal attributes, "Prior Performance" weighs more than the "Antecedents" and the "Process" of selecting the successor. This implies that when the firm is doing well, the issue of CEO succession does not attract much attention; it is only when the firm starts performing poorly, the CEO succession is contemplated.

- Internal and external sources of recruitment weigh the same. Linear recruitment, that is, announcing the heir apparent during the tenure of the CEO seems to be a far effective strategy than conducting a horse race.

- CEO succession planning is the responsibility of the Board and as an imperative of good governance it is incumbent upon the board to ensure disclosure of emergent, short-term and long term plans for CEO succession.

Key words:
CEO Succession, Corporate Governance, Structure-Conduct- Performance
(S-C-P), Analytical Hierarchy Process (AHP).

JEL Code: C6, G3, L1.

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The Context

April 20, 2009 would go down as an ironical day in the annals of the history of the Axis Bank (formerly UTI Bank), India's third largest and regarded as the epitome of some of the best practices of Indian banking. In the morning of that day, the bank announced a 100 per cent dividend per share. By the afternoon, its Chairman and CEO Mr. Pangal Jayendra Nayak (Mr. Nayak), who was believed to be responsible for the bank's stellar performance during his tenure since 2000, announced his decision to quit prematurely owing to his disagreement with the board over the appointment of his successor. While Nayak said that he felt "very strongly that our people have built the bank and therefore, the succession must be from within," the board considered only the outsiders for the coveted post and decided on the strength of 8:1 voting to instate Ms. Shikha Sharma, the then CEO and chairman of ICICI Prudential Life Insurance Company Ltd. (ICMR, 2009). The Board accused Nayak of not grooming a successor whereas Nayak alleged that he had groomed four persons any one of whom could easily have donned the mantle and felt that Ms. Sharma, the board's choice, did not have adequate grounding in banking. The climax of the theatrics at Axis Bank is said to have reached at such an intense mutual finger pointing that there are suspicions that it may as well have been the reason for a board member developing a cardiac problem on way back to the airport from the board meeting. The brief account of the succession drama at Axis bank is sufficient to suggest that something was amiss about the manner in which CEO succession took place. In many other a cases, the top position is kept vacant to avert conflicts arising out of succession or remains vacant for the want of a suitable candidate, thereby impairing the decision-making processes within the organisation, more so those pertaining to its strategic choices.

Whose responsibility it is to appoint and succeed the CEO? What should be the process? Whether the CEO should be promoted from within or be hired from outside? If the CEO is to be promoted from within, whether and how good is the process of grooming a successor? What all needs be done to avoid the theatrics and focus instead on performance? These are the questions that triggered the present paper.

Plan of the Paper

The paper is divided into seven sections other than the present introductory section wherein an effort has been made to clarify the context of the study. In Section II, we explain the concepts involved. In Section III, we build the rationale of the study and state its objectives and discuss the methodological issues. In Section IV, we trace the unfolding of succession drama at Axis Bank and identify the major issues involved. We are of the belief that Axis Bank episode neither is nor likely to be an isolated occurrence. It is reflective of a general inadequacy of the governance mechanism in regard to succession planning in all forms of enterprise, incorporated as well as unincorporated, public and non-government sector as well as private sector. We confirm this in Section V that pertains to a review of literature on CEO succession. Development of a theoretical framework for examining the issue of succession, more so in the realms of corporate governance is the concern of Section VI. Here we proceed from the neo-classical articulation of the concept of firm and establish the relevance of the Structure-Conduct-Performance (S-C-P) framework for examining the phenomenon of succession where succession planning is considered as a conduct of governance of firms. We also examine the critical areas of extension and modification of the S-C-P framework with a view to examining the antecedent, process and outcome variables of succession planning. We propose modifications in the various elements of the framework and the relationship among the various elements, viz., the basic conditions, market structure, conduct and performance. In Section VII prepare the ground for an Empirical Measure of Corporate Preparedness for CEO Succession (EMCPCEOS) by developing a model for capturing the relative importance of the diverse variables impinging upon CEO succession. We conduct pair-wise comparison of the variables arranging them in a multi-tier hierarchy starting from the goal of succession to the levels of principal attributes, sub-attributes and so on. We use the technique of Analytical Hierarchy Process (AHP) and implement a simulation. We do not as yet propose to conduct an empirical examination of our proposal. We just intend to prepare a roadmap for a comprehensive study on CEO succession in professionally managed as well as family controlled firms and business groups. In Section VIII we make concluding observations.

II

Concepts

Succession. Etymologically the word succession comes from the Latin word *successionem* meaning "a following after, a coming into another's place." It implies the action or process of inheriting a title, office, property, etc. from the incumbent/ predecessor by the inheritor/ successor- whether an individual or a team. Broadly speaking, therefore, succession implies change in ownership and control structure of business. It may arise from voluntary internal and external restructuring, off-loading of equity, transfer or sale of business as well as involuntary acquisitions and takeovers as well as leadership and management succession arising from the turnover of personnel.

It may be noted that with the separation of ownership from management in corporate enterprises, leadership and management succession has come to be independent of ownership and control. On the other hand, in family owned and controlled enterprises, business ownership, leadership and management is concentrated in and transferred to the person/s belonging to the owning and controlling group through intergenerational transfer.

In companies, attracting, retaining, evaluating, rewarding and replacing the personnel is the responsibility of the Human Resource (HR) managers but the same for the top level echelon, especially the *Chief Executive Officer* (CEO) is the responsibility of those entrusted with *Corporate Governance* of the organisations, that is, the *Board of Directors* (BoD).

The CEO. The CEO is the highest functionary in the managerial pyramid in whom vests the management of the entire corporate enterprise. As it would be seen later, the CEOs wield near total autonomy in the realms of the management of their enterprise and exert a profound and indelible influence on its strategy, structure and culture. Indeed, the organizational sagas are written by dividing the organisational history on the basis of the successive tenures of the CEOs more or less in the same fashion as the history of empires are written with respect to the successive emperors!

Corporate Governance. Corporate governance is the mechanism for overseeing the conduct of the management team headed by the CEO for and on behalf of the owners (shareholders) of the companies separated from day to day management so that the management works toward the furtherance of owners' interests rather than engage in self-enrichment. In this limited sense, "corporate governance deals with the ways in which suppliers of finance to corporations assure themselves of getting a return on their investment" (Shleifer and Vishny, 1997). It does not require any stretch of imagination to construe that in a free market system, corporate governance is the *sine qua non* for the development of finance. Sound governance is critical to sound finance. While the raison d' etre for corporate governance lies in ensuring that the managers pursue the interests of the owners, yet the enlightened pursuance of this objective necessitates due regard to the interests of other stakeholders as well. In fact, the desirability as well as feasibility of simultaneous attention to profits, people and planet has lent the concept of corporate governance a fairly broad based perspective. For example, Donovan (2003) defines it as "an internal system encompassing policies, processes and people, which serves the needs of shareholders and other stakeholders, by directing and controlling management activities with good business savvy, objectivity, accountability and integrity. Sound corporate governance is reliant on external marketplace commitment and legislation, plus a healthy board culture which safeguards policies and processes". In India, the concept owes its genesis to the Gandhian philosophy of trusteeship and has been defined by the Report of the Securities Exchange Board of India (SEBI) Committee on Corporate Governance as "the acceptance by management of the inalienable rights of shareholders as the true owners of the corporation and of their own role as trustees on behalf of the shareholders. It is about commitment to values, about ethical business conduct and about making a distinction between personal & corporate funds in the management of a company."

The responsibility for the governance of the companies vests with the Board of Directors who serve as an internal mechanism of putting in place and directing and supervising the conduct of management, more precisely the top management whose chief de corps is the CEO.

BoD. Board of Directors or the BoD is a collective noun to describe the directors of a company. The law does not define the term director in terms of what the directors do or are expected to; rather it defines the term as an organizational position, e.g. Section 2 (13) of the Indian Companies Act 1956 defines him as "any person occupying the position of director, by whatever name called." Nor does the law define the legal position of the directors. For example, in the case of Imperial Hydropathic Co. *versus* Hampson, Justice Bowen observed that directors "are sometimes as agents, sometimes as trustees and some times as managing partners. But each of these expressions is used not as exhaustive of their powers and responsibilities, but as indicating useful points from which they may for the moment and for particular purpose be considered." (Kuchhal, 2009). Yet, as the name suggests, the role of the directors is to impart direction. That is, to administer, supervise, control and cause the affairs of the company to be managed in the immediate interest of the shareholders and in the broader interests of the other stakeholders and society at large. The purpose of the board is not to manage the business, that is the role and responsibility of the CEO, but to ensure that the companies are managed properly (Saxena, 2004). Thus, it is the central concern of the board that the management of the affairs of the company is vested in the hands of the persons of caliber and integrity. CEO succession is embedded in this central responsibility. See Figure 1 (Tricker, 1994).

<table>
<tr><td rowspan="2">Environmental Dimensions</td><td colspan="2">Role Dimensions</td><td rowspan="2">Time Dimension</td></tr>
<tr><td>Compliance</td><td>Performance</td></tr>
<tr><td rowspan="2">External</td><td>Accountability
❖ Reporting to shareholders
❖ Ensuring statutes regulatory compliance
❖ Reviewing audit reports</td><td>Strategic thinking
❖ Reviewing and initiating strategic analysis
❖ Formulating strategy
❖ Setting corporate direction</td><td rowspan="2">Long Term</td></tr>
<tr><td colspan="2">Appointing, rewarding and Succeeding

the Chief Executive Officer (CEO)</td></tr>
<tr><td>Internal</td><td>Supervision
❖ Reviewing key executive performance
❖ Reviewing business results
❖ Monitoring budgetary control and corrective actions</td><td>Corporate policy
❖ Approving budgets
❖ Determining compensation policy for senior executives
❖ Creating corporate culture</td><td>Short Term</td></tr>
</table>

Figure-1: Roles and Responsibilities of the Board of Directors

The centrality of the board responsibility for search, selection, appointment, performance evaluation, compensation and succession of the CEO is evident from Figure-1. Thus, the board must be ready with emergent, short-term and long-term plans for CEO succession. This necessitates investment of board's time and organizational resources in management of high potential individuals within an organization and creating a culture that actively promotes talent management.

III

Rationale of the Study, Objectives and Methodology

Rationale. CEO successions are universal episodes in the organisations that last long enough (Friedman and Singh, 1989). The succession may be caused by the position falling vacant pursuant to CEO's resignation, retirement and death as well as organisation's requirement of a CEO better suited for the current environment or for likely changes in strategy or market condition. CEO succession may also be desirable in view of sagging fortunes or reputation of the organisation as well. In the present context, one must also account for succession challenges arising out of high attrition among and "poaching" of talented CEOs. Whatever be the reasons for CEO succession, it may be contended that sound succession ensures not merely organizational survival and continuity (Qi, 2009) but also is deemed critical for the success of any successful endeavour in organisational change (White et al., 1997). It is not unusual to interpret organisational history by demarcating eras of stewardship by the various incumbents of this coveted position.

Selecting a wrong CEO is costly. It is estimated that succession failures can cost a company 10 to 20 times the CEO's salary in opportunity cost and that these failures have enormous repercussions on the economy as a whole, generating a loss of productivity and social costs e.g. in US nearly $ 14 billion per year (Qi, 2009).

The concern for CEO succession, in the past, however, has been characterised by paradoxical co-existence of intense academic research and inexplicable poor performance, if not neglect, on this count in practice (Zhang and Rajagopalan, 2006). Of late, however, neglect of CEO appointment, performance evaluation, remuneration and succession are being regarded as areas of board accountability, more so in view of high CEO turnover, instances of CEOs remunerating themselves at the expense of the common shareholders and the larger nexus of CEO, board and auditors. CEO succession, which has been traditionally considered as an internal matter of management of personnel recruitment is being regarded as a matter of interest to the common investors. The boards are being increasingly expected to accept and respond to shareholders' resolutions concerning their plans for CEO succession. In this regard it is significant to note the assertion in the legal bulletin "No. 14E on Shareholder Proposals," issued by the Securities Exchange Commission (SEC), USA in October 2009:

> "We now recognize that CEO succession planning raises a significant policy issue regarding the governance of the corporation that transcends the day-to-day business matter of managing the workforce. As such, we have reviewed our position on CEO succession planning proposals and have determined to modify our treatment of such proposals. Going forward, we will take the view that a company generally may not rely on Rule 14a-8(i)(7) to exclude a proposal that focuses on CEO succession planning (McCool, 2009)."

That the bulletin is but an advisory does not take away from it the intended message, i.e. the board should own up the institutionalisation of CEO succession as the second most important governance function after fiduciary responsibility.

Objectives. Given that CEO succession is a governance imperative, there is a need to examine the linkages between corporate governance and CEO succession, which is the primary purpose of this paper. It may be pointed out that the practice of symptomatic explanation of succession crises in organisations while meritorious in its own right is not enough. What is required is a theoretical framework- whether independent and standalone or (and more likely) an eclectic one that takes into account antecedent, process and outcome aspects of CEO succession as a prime concern of corporate governance. Thus, the paper aims:

1. To list the issues pertaining to CEO succession brought to the fore by the succession drama at Axis bank
2. To elaborate the linkages between corporate governance and CEO succession

3. To examine the existing theoretical frameworks with a view to assessing their suitability for explaining and predicting CEO succession. And,
4. To develop a model for assessing the preparedness of the firms in respect of CEO succession.

Methodology. The paper relies on a triadic methodology. The case method is used to highlight the issues concerning CEO succession. An attempt is made thereafter to develop a theoretical framework for studying succession by appropriately extending and modifying the Structure-Conduct-Performance (S-C-P) framework. Finally, recourse to Analytical Hierarchy Process (AHP) is taken with a view to identifying the relative salience of the host of factors impinging upon CEO succession.

Case method is said to be a good basis for developing a theory (Eisenhardt, 1989). We rely on the issues arising out of CEO succession in Axis Bank, India's third largest bank and one of the early entrants into the industry pursuant to the privatization of the banking industry. Since its inception, the bank has seen two successions and we particularly highlight the issues arising out of the second succession in 2009. The case is discussed in **Section IV**.

Upon the belief that theorizing CEO succession within a firm must start from the theory of firm itself dating back to the era of Neo-classical theory, we briefly trace its evolution via the behavioural theory of the firm (March, 1962; Cyert and March, 1963) and firm as a nexus of contracts (Jensen and Meckling, 1976). Such a conceptualization of the firm became necessary in view of the emergence of the corporate form of enterprise characterized by separation of ownership and management, thus posing the agency problem or the problem of evolving a monitoring and incentive system to compel the agents (the managers) to conform to the goals of the principals (the shareholders). We refer to the works that develop a theory of firm to split the decision-making process within the firm into decision monitoring and decision implementing aspects (Jensen and Mickling, 1976; Fama and Jensen, 1983a, b), thus, paving the way for the induction of corporate governance in the mainstream theory. Thereafter, we establish succession as a conduct of governance by modifying the elements (as well as the relationships among these) of the S-C-P framework (Edward Mason, 1930s, Joseph Bain 1950s and Porter 1980s), viz., the basic conditions, the market structure, the conduct and the performance. The statement of the model and its modifications are contained in **Section V**.

For the paper, the last plank of the methodology is a simulation of the Analytical Hierarchy Process (AHP) proposed by Saaty (2008). The technique involves mapping of the relative importance of the variables impinging upon a decision situation, including those involving perceptual data. The "hierarchy" implies the cascading down of the decision goal at the top of the hierarchy, in the present context CEO succession, into successive levels or layers of principal attributes, sub-attributes and so on with each preceding layer serving as the principal for the next layer. While, the AHP framework is elaborated in **Section VI** it should suffice here to suggest that the simulation carried out here is a critical step toward the development of an Empirical Measure of Corporate Preparedness for CEO Succession (EMCPCEOS). As noted at the outset, we do not intend to conduct an empirical investigation of the model as yet. The paper is a part of an endeavour seeking to delve into the various aspects of succession.

III

Succession Drama at Axis Bank

The most profound manifestation of the theatrics of CEO succession at Axis Bank is captured by the statements of the incumbent and outgoing CEO Mr. Pangal Jayendra Nayak (Mr. Nayak) and the board (ICMR, 2009). See **Exhibit-1.**

Exhibit-1: Axis Bank Theatrics

Nayak	Board
"I think those of us who have built the bank should be looked at for leadership in succession as well. But that viewpoint is seen as dogmatic... I feel very strongly that our people have built the bank and therefore, the succession must be from within."	"When we insisted that succession should be a planned move, if only he [Nayak] had listened to us and taken us into confidence about what he had in mind, we may well have supported his candidate. But to mandate a nominations committee to select a successor, to stay out of the process, and then insist at the last that we accept his view was not fair."

These statements capture some of the major aspects of succession planning, viz. the CEO selection methods, the power play between the incumbent CEO and the board, the psychology of the CEO, etc. To put the succession crisis in perspective, however, it would be appropriate to briefly recapitulate the history of this bank right from its inception.

Founding. The Axis Bank was one of the first private sector banks that were set up after the reforms in the banking sector in India in the early 1990s. The bank, founded in December 1993 as UTI Bank, adopted its present name in July 2007. It started its operations on April 1 1994 with the inauguration of its first branch at Ahmedabad by Dr. Manmohan Singh, the then finance minister (and present Prime Minister). It attracted the most talented minds from across the banking industry and largely from the country's largest government bank, the State Bank of India (SBI).

Founder Philosophy. Its founder Chairman & Managing Director (CMD) was Mr. Supriya Gupta (Mr. Gupta), Deputy Managing Director, SBI. During his tenure lasting over 6 years, the bank treaded cautiously as aggressive expansion was not the approach of the conservative management that had so many government-owned bodies, namely, Specified Undertaking of the Unit Trust of India (SUUTI), Life Insurance Corporation of India (LIC) and General Insurance Corporation of India (GIC). It primarily served the corporate clients.

Founder Performance. The bank was set-up with a capital of Rs. 115 crore. It was profitable in the first year of its existence and went public in September 1998 with a Rs. 71 crore issue that was oversubscribed 1.2 times. In March 1999, its deposits crossed Rs. 3,000 crores. Thus, a strong foundation was laid for further expansion.

First Succession. Mr. Gupta retired on December 1999 and Mr. Nayak took over from him from January 1, 2000. Mr. Nayak, a doctorate degree holder from Cambridge University had served as an Indian Administrative Service (IAS) officer before coming to Axis Bank. He was initially appointed for a term of five years and got another term that would have lasted up to December 31, 2010 but for his decision to quit prematurely on April 20, 2009. First succession was not only smooth but also complementary to the founder's conservatism. Drawing on the strength of a strong foundation laid by his predecessor Mr. Nayak embarked upon an aggressive expansion strategy and lead the bank into the retail space.

Incumbent Performance: It is not possible to underplay Mr. Nayak's contribution to making Axis Bank, India's largest bank. The bank is also regarded as the epitome of several best practices in the banking Industry, thanks also to Nayak's dynamic leadership. Not only this, Nayak remained an integral part of India's banking and finance industry for a decade-and-a-half, despite the fact that he was not a banker by choice. He started his career as a civil servant (Indian Administrative Service), and joined the Unit Trust of India, the country's oldest mutual fund, the then largest capital market player, as an executive trustee. In a few years, he moved on to become the UTI Bank chief. He embarked upon the challenge of rebranding UTI Bank as Axis Bank after the UTI demanded royalty for using the brand name. It is under Nayak's stewardship that Axis Bank was named the best private sector bank in India by Financial Express, India's leading newspaper. During his tenure of nine years, the Axis Bank not only returned spectacular financial results but also the attrition rate at the top level was kept at near zero. It is said that almost everybody who interacted with Dr. Nayak will profess enormous respect for him, vouch for his uncompromising integrity and admire his professionalism and business acumen. He was hero-worshipped by his colleagues. Now, how does the hero become a villain? One has to turn to psychology.

Incumbent Psychology. Mr. Nayak is said to have threatened to quit at least two times earlier too whenever he could not have his way. A high need for autonomy, achievement, internal locus of control and indispensability while virtuous in their own right are sure recipes for the neglect of succession planning and conflicts with and resistance to those who seek to govern or control. It is a human nature that power once acquired is difficult to relinquish.

The Conflict and Power Play. Mr. Vinayak's tiff with the board that lead to his premature resignation was not his first. There have been at least three instances when he had a showdown with the board since the time he joined UTI Bank Ltd. (the earlier name of Axis Bank) in January 2000. On all the occasions, he offered to resign but was persuaded to stay back. In the first incident in 2002, Nayak went on a month's leave and refused to resume work till the bank's board cleared him of an indictment in a draft report of the joint parliamentary committee on the stock scam, which had commented on the UTI Bank's failed merger with another private bank, Hyderabad-based Global Trust Bank Ltd. Secondly, in December 2004, he threatened to quit the organization after the bank decided to split the posts of CMD to be in line with the ruling of the Reserve Bank of India, India's central bank and the regulator of banking sector. When his term came up for renewal in 2007, the issue of split in the post of chairman and managing director held by him and again he could have his say. The splitting of the top post is a way of balancing the distribution of power between the CEO and the board, but Mr. Nayak could have his way on the basis of his outstanding performance record and the organisational compulsion of maintaining the status quo when the going is good.

Role of the Board. It seems that the board was aware of the need for succession planning and suggested Mr. Nayak to groom his successor who would lead the bank after his retirement. The board's insistence to separate the posts of chairman and managing director too may be seen as a means of inducing succession planning. However, realising Mr. Nayak's resistance to the idea, and close to a year around his retirement date, the board of the Axis Bank initiated the succession planning process and hired a global HR firm, Egon Zehnder International to identify the new CEO. It should also go the credit of the board's prudence that on the same day that Ms. Sharma took charge, they also agreed to alter the Articles of Association in respect of splitting the posts of CMD into non-executive chairman and CEO and MD, drawing lessons from the earlier experience and sending the right signals.

Role of the Regulators. Banks in India are subject to regulation by the Reserve Bank of India (RBI). Pursuant to the recommendations of the Consultative Group of Directors of Banks / Financial Institutions (Ganguly Group) set up in 2002, the RBI came with a directive requiring the splitting of the post of chairman and managing director in all large banks. The directive was seen as a means to improve corporate governance and creating a consciousness about succession planning. That the Axis Bank could circumvent the requirement by nominating

Mr. Nayak as the Chairman and not appointing a managing director under the threat to quit by him is a different thing. Many private banks, including Federal Bank Ltd, South Indian Bank Ltd, Karnataka Bank Ltd, Karur Vysya Bank Ltd, City Union Bank Ltd and Ratnakar Bank Ltd., however, have split the top post at the regulator's insistence.

In concluding the discussion of the case, it may be reiterated that the issues impinging upon CEO succession include, incumbent's psychology, CEO-Chairman Duality, Board accountability, successor selection method, and the role of regulatory bodies.

It would be interesting to see whether the issues arising out of CEO succession in Axis Bank are particular to it or are in confirmation of the research findings on CEO succession. We now, turn our attention to a review of select works on CEO succession.

IV

Review of Literature

There are four main strands of research on succession planning, viz., research pertaining to the impact of firm performance on CEO succession/ turnover, impact of the distribution of power between the CEO and the board on succession, the relative effectiveness of internal and external sources of recruitment, the relationship between CEO and strategic change and the succession related consequences. In this section, we review select studies pertaining to the various aspects of CEO succession.

Prior Performance. It is quite plausible that the onus of poor performance of the firm falls on the CEO. Hence, a strand of the research on CEO succession focuses on the question whether the CEO succession is preceded by poor performance. On the basis of a comprehensive review of research Kesner and Sebora (1994) concluded that in instances where frequency was treated as the dependent variable, succession rates were higher in low performing firms. Whether the succession rates are due to voluntary retirement and resignation of the CEO or on account of dismissal by the board is difficult to measure because organisational dismissals, unless on account of serious moral turpitude, are kept opaque and discussed only in euphemistic terms (Fredrickson et al.,1988; Boeker,1992).

Now, if poor performance causes higher CEO turnover, then good performance should facilitate CEO entrenchment and thereby lower turnover. However, given that the market for managerial labour is usually quite narrow, the CEO turnover may remain unabated due to competitive poaching and out of the CEO mobility. This poses a big challenge to the BoD. In any case, the relationship between prior performance and CEO succession is not straight-forward.

Power Distribution between the CEO and the Board. It has been seen that while the *de jure* power to appoint the CEO vests with the boards, in practice, the CEOs have come to acquire and accumulate greater power with the boards and their power seems to strengthen with the length of their tenure. Thus, CEO turnover could be low despite poor performance. Moreover, in family firms where the CEO could be a member of the family, such a likelihood of CEO entrenchment is further fortified not only due to the common source of power for the board and the CEO but also in terms of performance evaluation criteria used/ preferred. Of course, the governance reforms have sought to restore the powers of the board by undertaking such measures by separation of the post of the CEO and the chairman, nominations and mandating the constitution of nomination and remuneration committees where majority of the directors are independent. Research has shown that the greater the power of the CEO, the less the rate of succession (Allen and Panian,1982; Boeker, 1992; Weisbach,1988; Ocasio, 1994). The research seems to suggest that the board power lies in succeeding the erring CEOs. However, the bigger challenge before the boards is to attract and retain the CEOs.

Succession Process. In terms of the process followed in CEO succession, three types may be envisaged, viz., *relay succession* where the heir apparent is announced well before actual succession, *non-relay succession* from within the organization e.g. through "horse race" and *succession from outside* (Zhang and Rajagopalan, 2006). The research effort in regard to succession process has largely been focused on the relative effectiveness of the sources of recruitment of the successor CEO, that is, whether and insider or an outsider. In their review of this literature, Furtado and Karan (1990) indicate that the studies which have looked at the relationship between the origin of the successor and prior firm performance have reached different conclusions and that the research evidence is not conclusive. It may be contended that good performance may necessitate the maintenance of the *status quo* and the internal recruitment would be in the interest of all the stakeholders. This is the logic Mr. Naik used to defend his case for succession from within the CEO bank. By the complementary logic, it may be posited that when the performance is weak thereby necessitating organizational revitalization and renewal or in cases where internal candidates are weak, the outsider should be preferable. It has been reported that as outsiders are seen to be less committed to the *status quo* and therefore more likely to effect changes in the organization, they tend to be favored in situations of poor organizational performance (Hambrick and Mason, 1984). In the case of Axis bank, the directors took the position that bringing an outsider became a compulsion in the absence of succession planning; Mr. Naik did not groom a successor. Clearly, therefore, if the organizational situation is such that it is (or shown to be) a one-man show, competent successors will be hard to find. In fact, it should not surprise that they would have left the organization in the absence of the assurance of career path leading up to the post of the CEO.

Personal Antecedents. Age and health of the incumbent are direct pointers to the imminence of succession. As such succession becomes a universal phenomenon for the organisations that last long enough. In general, whether for the incumbent or the successor, it may be posited that "demographic characteristics such as age, education, and functional backgrounds are indicators of the givens that a manager brings to an administrative situation" (Hambrick and Mason, 1984) and these, therefore, are assumed to be related to cognitive abilities, attitudes, and expertise (Bantel and Jackson, 1989).

Psychology. The psychological willingness and preparedness of the incumbent to relinquish control can indeed be critical to business succession (Chung, Liu and Yeh, 2007). In fact, the very idea of succession seems antithetical to the motivation for founding a business and entrepreneurship as entrepreneurs are said to be driven by a strong need for autonomy and indispensability to their firm, high task involvement and internal locus of control. As noted earlier too, renunciation of power requires extremely evolved consciousness. In discussing psychology of the incumbent it is also important to refer to the attitudinal determinants of business succession. The successor attitude toward succession may lie anywhere between "business will find its own successor" to "plan and train a successor (Saxena, 2005)." Proclivity to entrench or the anxiety to move on can have an impact on CEO tenure and turnover- while there are marathon runners and long innings players, there are middle-distance runners and short-distance runners too. In fact, it would be pertinent to mention here a typology of incumbent attitudes and the associated behavioural characteristics proposed by Poza (2004). See Table-1

Table-1 **:** Incumbent Attitude Typology

Incumbent type	**Behavioural orientation**
Monarch	Presumes that his/her role is for life-time and indispensable. Fails to plan for succession and does not retire/ relinquish the position during the life-time.
General	Retires out of self-discipline yet plot their return to the business, may be as rescuer in crisis.
Ambassador	Delegates most of their responsibilities but retains high value, high profile connections and representational duties and diplomatic functions for the firm.
Governor	Sets the exit date and openly works towards the transfer of power within this designated timeframe
Inventor	Eager to transfer power and exits in order to pursue the development of new business to the satisfaction of his/her creative impulses
Transition czar	Acknowledges the risks inherent in having a leadership vacuum and actively manages and steers the transition of power and responsibility.

Succession might entail psychological issues from the standpoint of the successor as well. For example, Grote (2003) brings to the fore a spiral of conflict, confusion and confrontation that successors undergo: they desire to be like [appear like] the incumbent yet also to supersede him; they must imitate the incumbent in some ways for expeditious acceptance and overcoming resistance/ heart burns while seeking to assert their identity and introducing change. This contradiction causes internal conflict for the successor over how to behave.

Given that the incumbent and the successor are the primary participants in the succession process, it is also important to examine the mutual compatibility or otherwise of attitudinal correlates of successful succession. For example, the participants in the succession process could be broadly categorized into two types, those who took a conservative, safe approach to business and may therefore be referred to as "conservators", and those who embraced change, innovation and expansion and thus may be referred to as "expanders". This gives rise to a four-quadrant typology of incumbent-successor relationship based on their behavioural orientations toward business (Taylor at al.). See Figure -2.

Successor type	Expander	Conservator-Expander	Expander-Expander
	Conservator	Conservator-Conservator	Expander- Conservator
		Conservator	Expander
		Incumbent type	

Figure 2: Incumbent- Successor Attitude Matrix

The implications of the matrix are obvious in the wake of the instant case of Axis Bank where it has been seen that the first succession was not only smooth but augured very well for the bank as the aggressive, expansionist attitude of Mr. Naik was aptly suited for taking the bank to newer heights on the strong foundation prepared during the tenure of conservative predecessor and founder CEO, Mr. Gupta. Having said that, the other three combinations of the matrix are also equally plausible.

Organisational Motive: The organizational motives may be distinguished between continuity or change. We have earlier referred to the succession alternatives in the wake of the need for the organization to expand. Thus, CEO succession has implications for and is conditioned by strategic choices for turnaround, stability, expansion as well as diversification. In organisational literature one comes across a view that firms experience inertial pressures that make it difficult for them to reorient their strategies and that compel them to seek successor “similar” to their predecessors (Hannan and Freeman, 1977). In fact, in a study of CEO successions during 1957-81 it was found that predecessor’s specialization and organizational strategy were good predictors of successor specialization (Smith and White, 1987). However, pursuant to a back-to-back to study of CEO successions in 1981-90, it was found that that organisations often chose successors with different specialisations (White, Smith and Barnett, 1997). The reasons for such contradictory findings were traced to environmental contingencies or “basic conditions” as referred to in the Strategy-Conduct-Performance (S-C-P) framework. The imperatives of globalization, liberalization and privatization certainly require different “mindsets.” CEO succession, thus can be an important means of facilitating organizational adaptation to the changing realities of business. These mindsets must reflect inter alia in the incentive systems that encourage smooth, timely and competent succession. For example, severance compensation of the CEO may be linked to performance on the count of succession planning.

Post Succession Consequences: Studies on post succession consequences may be conveniently categorized into those examining the stock market reaction to the "succession event" and those examining post-succession strategic and structural change. As far as the impact of the succession "event" is concerned the research findings are mixed. Some studies show that CEO succession can have a positive effect on firm's performance e.g., Helmich, 1974; Davidson, Worrell and Dutia, 1993. On the other hand there are studies that because the change caused by succession can be disruptive, it may have a negative impact, e.g., Grusky, 1963; Allen, Panian, and Lotz, 1979; Carroll, 1984; Beatty and Zajac, 1987; Haveman, 1993. In as much as, at times, CEO succession may be nothing more than "symbolic scapegoating" it may not have any impact on firm's performance at all (Gamson and Scotch, 1964; Brown, 1982; Boeker, 1992). Such a likelihood seem more plausible in case of business-groups where there may be a compulsion to have separate CEOs for the various companies, yet the decision-making is centralised (Saxena, 2010).

The longitudinal studies examining the impact of succession on strategy and structure are rare, the reason being that that strategy and structure are difficult to measure from the outside (Pitcher et al., 2000). However, Miller (1993), in a study of 36 mostly large, mostly U.S. corporations, each tracked using 20 years or more of secondary archival data, concluded "succession is associated with change, regardless of direction, in a wide variety of organizational dimensions. Increases and decreases in power dispersion, information processing, and competitive aggressiveness all appear to be especially likely after the appointment of a new CEO. Indeed, succession seems to break organizational momentum. If so, it may be most useful when organizations are experiencing dangerous strategic stagnation, when their environments are changing, and when performance is deteriorating. But when strategies are adaptive and there is a good deal of continuity in an environment, the changes associated with succession may do more harm than good."

Indian Research: Research on CEO succession in professionally managed companies is conspicuous by absence. This could be due to the fact that family controlled companies and business houses abound in India. But as observed by Saxena (2010), even research on succession in family business is not much.

Summing up. While the research on CEO succession is scant in India, it has been abundant elsewhere and the researchers in the area have tried to address a host of issues pertaining to succession precursors, succession event, succession process and succession outcomes. In most of the cases research evidence has been non-conclusive. Perhaps this could be due to the fact that CEO succession in a firm is contingent upon a host of the firm related, industry related and environment related factors besides the demographic and psychoanalytic characteristics of the incumbent/ predecessor and successor whereas the researchers have been focusing on partial issues. Moreover, CEO succession is a proprietary/ directorial decision falling within the realms of corporate governance and would, therefore, invariably involve conflicts and power plays between the regulators, board of directors, dominant and minority shareholders and the incumbent CEO. Thus, Finkelstein (1992) and Finkelstein Hambrick (1996) counsel researchers to take into account all these factors. Pitcher et al. (2000) find the task a tall order. Miller (1993) argues that until an integrated and eclectic framework is developed, the sages of succession will continue to find themselves talking about different parts of the organizational elephant.

Can we evolve an integrative, eclectic theoretical framework? If so, can we leverage the resultant framework for an empirical treatment of the issue of succession? The next two sections of the paper address to these issues.

V

Theoretical Frameworks for Studying CEO Succession

In a comprehensive review of literature on executive [CEO] succession, Kesner and Sebora (1994) concluded that "...there is little that we know conclusively, much that we do not know, and even more that we have not yet studied." Pitcher et al. (2000) contended that difficulty in comprehending the phenomenon of CEO succession could lie in the operationalisation of key variables used to study succession antecedents, processes, and organizational consequences. They suggested refinements in the measurement of these variables, particularly those pertaining to the psychology of the parties to the succession process, namely incumbent and the successor/s.

We are of the view that the search for a theoretical paradigm for explaining any organisational event or episode (CEO succession in the instant case) must start from the theory of firm. The theory of firm pertains to the what, why and how of the "firm." As a construct, firm is an economic unit or organization that undertakes production of a good or service. In the classical theory, there was not much role ascribed to the firm as the theory pertained essentially to the discussion of the prevalence of equilibrium in the economy as a whole, the behaviour of the individual economic actors- be it the firm or be it the households- notwithstanding. Firm as a decision-making unit belongs to the neo-classical school of economics where the owner-manager is a rational actor and seeks to maximise profits. Its conduct is determined by the market conditions, e.g. in perfect competition the firm is a passive choice taker and as such it does not really matter who acts for and on its behalf. In such a scenario, the role of the CEO would be limited and there will be little incentive for succession planning. However, in conditions of imperfect markets, there is an opportunity for strategic behaviour that underlines the importance of the chief decision maker, i.e. the CEO. Thus, firm's behaviour is *ipso facto* the CEO behaviour. Since the firm is still construed to be a proprietary concern- sole or joint (partnership), the issue of CEO succession is more or less determined by the prevailing laws and customs of inheritance and thus marks a lineage/ relay of baton from one generation to the other.

A joint stock company, however, is characterised by separation of ownership from management and thus the theory of firm needed to be extended to provide for decision-making by the managers, as distinct and distanced from the owners. In such a situation, the managers are in a position to enrich themselves at the expense of the shareholders and may even engage in corporate plundering sometimes (Berle and Means, 1932). It may be pointed out that even if the corporations are viewed as coalitions of diverse stakeholders, their executives (CEOs) continue to be their principal brokers (March, 1962; Cyert and March, 1963). As such they will have little incentive to groom a successor for the sake of protecting their constituency arising out of information asymmetry vis-à-vis shareholders as well as other managers. In fact, in a study of CEO Succession in U.S. Industrial Corporations during the period 1960-1990, (Ocasio, 1994) it was seen that Chief Executive Officers (CEOs) of U.S. industrial corporations played a central role in the dominant coalition, exercising their influence through both their formal authority and their informal power. The study, however, noted that the CEOs' bases for power are subject to both obsolescence and contestation, as CEOs are challenged by both internal political processes and external environmental contingencies.

It may be noted that while the managers have an opportunity to enrich themselves at the expense of shareholders, yet they may not do so because of ethical considerations and other mechanisms that may prevent these managers from doing so. The mechanisms envisaged are the stock market, usually referred to as the market for corporate control, market for managerial labour and the markets for company's products as well as the performance-linked incentive component of the pay package e.g. bonus related to annual profits and option to buy stock at a later date (Douma and Schreuder, 1998). The institution of corporate governance, a legal construct, does not surface as yet in the theory of firm.

The idea that a firm may be regarded as a coalition of primary and peripheral stakeholders where the managers (CEO) serve as the principal broker and have an opportunity to enrich themselves and neglect the succession issue has engaged the policy makers and regulators for quite sometime and the need for evolving an internal mechanism of ratification and monitoring of the performance of the executive has long been felt. Hitherto, the CEO acted as the judge of his/ her own conduct with the apparent moral hazard. The emergence of the idea of firm as a nexus of contracts (Jensen and Mickling, 1976; Fama and Jensen, 1983a, b) paved the way for corporate governance as an internal mechanism for ratification and monitoring of CEO appointment, performance evaluation, remuneration/ incentives and succession. The strategic decision-making process within a firm may be envisaged to comprise four steps, viz., initiation, ratification, implementation and monitoring (Douma and Schreuder, 1998). Initiation and implementation may be combined under the term 'decision management' and ratification and monitoring may be combined under the term 'decision control.' The separation of decision-management and decision-control has since dominated literature in law-and-economics and may thus be regarded as the point of induction of the idea of corporate governance into the theory of firm. In this context, it is interesting to note the definition of manager (CEO) in the Indian Companies Act, "an individual who, subject to the superintendence, control and direction of Board of Directors, has the management of the whole, or substantially the whole of the affairs of a company, and includes a director or other person occupying the position of a manager, by whatever name called, whether under a contract of service or not." [Section 2 (24), Indian Companies Act, 1956]. Clearly, therefore, the mandate for the board is to provide direction and exercise superintendence and control over the management (CEO) which would inter alia include recruitment, selection, performance evaluation, compensation and succession planning on behalf of and for the shareholders. Thus, the board of directors was envisaged to be the mechanism of governance over and above the management of companies. See **Figure 3**.

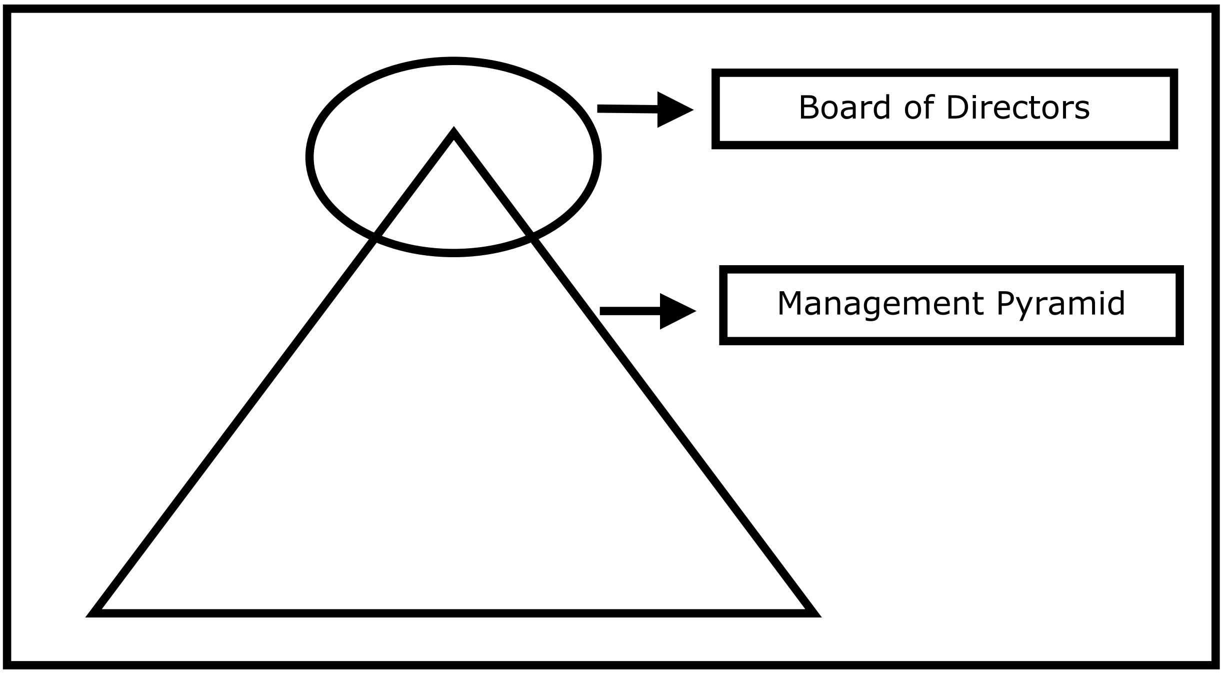

Figure-3: Board- The Governance Mechanism in the Organisations

It bothers one's mind as to why does one often come across incidents of corporate failure, frauds and deceit despite the provision of decision control over decision management in the theory of firm and in economic/ corporate laws by way of the institution of corporate governance? While such extreme cases attract a lot of public and media attention and outcry, subtler lapses such as those pertaining to succession planning potentially can cause a serious impairment of corporate and hence economy's performance, given the dominant role of the corporations in the national economies. Extrapolating the argument, corporations dominate the global economy and therefore their governance which inter alia includes search, appointment, compensation and succession of the CEOs becomes critical for the stability and sustainability of the global financial and economic system. Are the incidents of the magnitude of scams merely an outcome of individual failings overwhelming the system or do they refer to the failure of the very institution of governance itself (Bavly, 1999)? And, why despite the importance of CEO succession many companies fail to do a good job of managing it (Zhang and Rajagopalan)? We shall abstain from the discussion of the scams and scandals here. As far as lapses in succession planning are concerned, we are of the view that the treatment of the subject rather than being symptomatic has to follow a theoretical rigour. In view of the environmental, organizational and personal issues impinging upon it, we propose that the S-C-P framework can be extended to include the factors bearing upon CEO succession. It would not be out of place to underline the connect between the theory of firm and the S-C-P paradigm. It may be noted that the firm does not exist in a vacuum, it exists and "behaves" in a given market structure. What S-C-P paradigm states, in effect, is that the firm behaviour (referred to as "Conduct") is conditioned by the prevalent market structure ("Structure") and firm's performance ("Performance") is the product of "Conduct."

We begin with the textbook description of the S-C-P paradigm. In such a paradigm, given basic conditions, market structure determines firm's conduct, which in turn determines firm performance. The model dates back to the pioneering work of the Harvard economist Edward Mason, in the 1930s, and of his doctoral student Joseph Bain, in the 1950s that remains popular till date, more so, since the work of Michael Porter (1980). The basic schema of the S-C-P framework is shown in **Figure-4**.

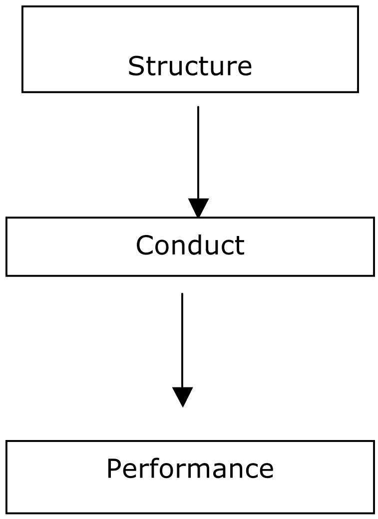

Figure 4: Schema of Traditional Paradigm

In the basic S-C-P framework as proposed by Mason and Bain, the relationship between the elements was stated to be one way and serial, that is, given the basic condition of demand and supply, market structure determined firm's conduct which in turn impacted firm's performance. Porter extended the model to account for the "feed back" whereby the firm, through its conduct, tries to influence the market structure and basic conditions. We propose a modification whereby we allow the basic conditions to directly influence firm's conduct. Before we do that, it would be appropriate to briefly discuss the elements of the S-C-P framework.

Basic conditions. In a discussion of the S-C-P paradigm, the phenomenon of basic conditions does not ordinarily receive much attention (Hay and Morris, 1979; Ferguson and Ferguson, 1994). Basic conditions shape market irrespective of market forms.

In the original formulation of the S-C-P model, basic conditions comprise the forces of demand and supply. Demand side conditions include: direct and cross-elasticities of demand; market growth in its trend, cyclical and seasonal variants; tastes, requirement and purchasing habits of customers. Supply side conditions include: location and ownership of raw materials; technology; unionization; product durability; industry history; availability of substitutes and the legal, ethical and political framework within which business activity takes place. Reid (1987) pointed out that several treatments of the framework assimilate several of these basic determinants into market structure category. For example, Mason (1939) who first proposed and cogently argued the merits of approach defines market structure to include all those considerations the seller takes into account in determining his business policies and practice. He would include demand conditions in his list of elements of structure. However, the usual practice is to regard taste, technology and institutions as given and concentrate on structure, conduct and performance.

As noted at earlier too, in terms of **Figure-4**, basic conditions are shown to influence structure alone as opposed to conduct or performance. Therefore, the question of basic conditions is usually examined in a peripheral way, without unraveling the feedbacks or the channels through which it affects the whole of the framework. Clearly change in technology, a component of the basic condition has an impact on the conduct of firms. Again, change in taste of consumer will force the firms to respond (conduct). Thus, there is some ambiguity about whether basic conditions affect only structure or affect all the three. In our analysis, we have restructured the basic schema so as to examine the impact of basic conditions on the other elements of the framework as well.

Structure. The structure of an industry or market is by far the most important, though not sole determinant of business conduct. Therefore, an economic analyst cannot adequately describe or fully understand the conduct of a business firm without putting it into the context of the industry's structure. It is important to point out that perfectly contestable markets may also be used as a benchmark for analysis of industry structure. Such markets are open to entry by entrepreneurs who face no disadvantages vis-à-vis incumbent firms and who can exit without loss of any costs that entry requires to be sunk. There are no legal restrictions on market entry and exit and there are no special costs that must be borne by an entrant that do not fall on the incumbent firm as well. In such markets, competitive pressures from potential entrants exercise strong constraints on the conduct of incumbent firms.

Hence, in a perfectly contestable market, due to the absence of features like sunk costs and entry barriers, structure of an industry is rendered inconsequential for the conduct and performance of the firms operating in that industry. It may be pointed out that "real markets," however, are charcaterised by a host of imperfections.

Conduct. Conduct is the term used to describe the behavior of firms in the market. It refers to how firms react to the conditions imposed by market structure and interact with rivals. In course of interaction with competitors, the firm has to take into account the dependence of other firm's actions on its behavior. Conduct includes a strategic move, which is one that influences the other person's choice, in a manner available to one's self, by affecting other person's expectations on how one's self will behave. In principle, many types of conduct may be distinguished, some of which may be extended beyond the strictly economic. Under conduct, one conventionally looks at: how price is set; the way in which the volume, quality and range of products are determined; advertising and marketing strategy; research and development planning and implementation; and legal tactics.

Performance. Performance is a judgment about the results of market behavior (Burgess, 1988). The dimensions of market performance about which industrial organization is concerned include efficiency, fairness and progress. Efficiency involves how well a market makes use of available resources. Fairness involves how equitably market distributes benefits of economic activity to the participants. Progress concerns how effectively the market nurtures and yields better products and production techniques.

Modifications. For discussing CEO succession within the S-C-P framework, we treat basic conditions as a variable rather than a parameter. The implication of this modification is fairly significant. As a result of this modification, a change in the basic conditions will directly impact the conduct whereas in its basic formulation the influence transmission mechanism is via the structure. Further, we are of the view that the basic conditions of demand and supply as provided for in the framework are a part of the broader, supra, socio-cultural, ethico-moral and politico-legal context so that there are environmental correlates of the conduct too.

We do not propose any modifications in the market structure other than that we propose that besides barriers to entry, there could be entry facilitators. For example, the entry of private banks was facilitated by the use of ICT in banking. Such a situation would necessitate the coping behaviour by the incumbent CEOs or else they might have to be succeeded by the ones who are proficient in new technology. This is a reaffirmation of our incorporation of the influence transmission mechanism in the S-C-P framework. The transmission of influence could be a relay or jump, feed-forward or feedback. To exemplify even at the expense of repetition, the earlier example of change in the basic conditions of regulation pertained to direct impact of basic conditions on conduct, the latter example of technology operates through the competition via market structure.

The standard S-C-P framework envisages firm’s conduct as conditioned by the market structure in pursuance of its objectives. Succession planning is considered as a conduct variable. Apart from enlarging the list of the conduct variables, we also allow for the one conduct variable to influence the other, e.g. international orientation of firm may significantly alter its conduct regarding CEO succession. For example Ratan Tata is on record having said that Tata group is open even to a foreign CEO in view of the fact that a sizable proportion of revenue of the group comes from foreign sources. In view of the Indian TNC juggernaut in the recent years (Varma and Saxena, 2008), more firms are likely to realign their succession planning against the global best practices.

A major modification that we propose is the incorporation of the psychological and moral orientations of the CEO. We are of the view that because the firm's conduct is personified by the CEO, his psychology and values shall have a significant impact on its conduct. Another major modification that we introduce is that firm's conduct rather than being viewed as a one-shot act must be looked at as a process comprising several stages e.g. stimulus-reception-perception-contemplation-decision-and–response-and-feedback. Accordingly the whole logistics of and the checks and balances in the firm's conduct must be accounted for. Here, one may recall the distinction between monitoring, a governance imperative and implementation, a management responsibility, in the decision-making processes within a firm. Viewed in this perspective, succession planning may be regarded as a governance conduct.

VI

Analytical Hierarchy Process

Drawing on the lessons from the case of CEO succession discussed in Axis Bank (**Section III),** review of literature **(Section IV)** and the implications of the modified S-C-P framework (**Section V)**, we attempt a simulation of the Analytical Hierarchy Framework in this section.

The Analytic Hierarchy Process (AHP) is a structured technique for dealing with complex decisions. Rather than prescribing a "correct" decision, the AHP helps the decision makers find the one that best suits their needs and their understanding of the problem. Based on mathematics and psychology, it was developed by Thomas L. Saaty in the 1970s (Saaty, 2008) and has been extensively studied and refined since then. The AHP provides a comprehensive and rational framework for structuring a decision problem, for representing and quantifying its elements, for relating those elements to overall goals, and for evaluating alternative solutions. The AHP involves the mathematical synthesis of numerous judgments about the decision problem at hand. It is capable of assisting decision-making where the number of judgments required number in the dozens or even the hundreds! It is a three-stage process involving the construction of hierarchies, comparative judgment, and synthesis of weights.

Hierarchies. This stage involves the structuring of the problem, in the instant case, CEO succession, into a hierarchy descending from an overall objective to various `attributes', `sub-attribues', and so on until the lowest level. According to Saaty (2008), a hierarchy can be constructed by creative thinking, recollection, and using people's perspectives. In the instant case, overall objective of CEO succession was structured in terms of three principal attributes, viz., "prior performance," "antecedents," and "process" in consonance with the review of literature. Thereafter, each of the attributes was independently decomposed into sub-attributes, e.g. prior performance was decomposed into economic, relational, knowledge competencies and vision richness. Likewise, at the next level of hierarchy, the sub-attributes of the preceding level were further decomposed. For example, "personal antecedents" a layer two component of "antecedent" was further decomposed into "demographic," "psychographic" and "ethico-moral" determinants, on the ground that if CEO's "health" is not good or "age" is such that he/she is nearing retirement, succession would be imminent. It may be noted that both "health" and "age" are the next level components of "demographic" aspects of "personal antecedents" which in turn were the components of the primary determinant "antecedents" bearing on the goal "CEO Succession."

Through a process of successive decomposition of the goal of CEO Succession, a set of 42 variables was thus generated. All these variables and their hierarchical structure are contained in **Table 3** given close to the end of the section.

Comparative Judgment. Once the hierarchy has been structured, the next step is to determine the priority of the elements considered at each level of the hierarchy. The procedure followed is a pair-wise comparison, that is taking two elements at a time and arriving at a judgment as to which of the two elements weighs more (or less) and by how much. For the purposes of pair-wise comparison, recourse was taken to Saaty's scale that captures the linguistic expression of comparisons between two components at a time on a scale of 1- 9 (**Table-2)**.

Table 2: Scale of Measurement of Pair-wise Comparisons

Extent of Comparison	Score
Equally preferred	1
Equally to moderately preferred	2
Moderately preferred	3
Moderately to strongly preferred	4
Strongly preferred	5
Strongly to very strongly preferred	6
Very strongly preferred	7
Very strongly to extremely preferred	8
Extremely preferred	9

Since showing the pair-wise comparison for all the stages of the decision-hierarchy would be extremely space consuming, we show here the matrix containing pair-wise comparison of the principal determinants of CEO succession (**Exhibit-2**).

Exhibit-2: Matrix of Pairwise Comparisons

	Row Numbers	Column Numbers		
		A	B	C
		CEO's Prior Performance	Antecedents	Succession Process
CEO's Prior Performance	1	1	2	3
Antecedents	2	1	1	2
Succession Process	3	0.5	0.5	1

A matrix is an array of elements arranged in rows and columns. It is a convenient way of conducting pair-wise comparisons. The number of elements comprise the order of matrix, in the instant case the order of matrix is 3. Each cell is addressed with the identification of the row followed by the identification of column. For example the cell corresponding to the row pertaining to "CEO's Prior Performance" and the column "Antecedents" shall be addressed as 1B. In **Exhibit-2** cells 1A, 2B and 3C comprise the "diagonal" of the matrix and represent the comparison of the respective element with itself and bear the score 1. The matrix shows that in researcher's view CEO's "Prior Performance" should be equally or moderately preferred (entitling a score of 2 as per Saaty's Scale as in **Table 2)** over the "Antecedents" (1B) and moderately preferred (entitling a score of 3 from the same table) over the "Succession Process" (1C).

Likewise, as compared with "Succession Process," Antecedents should weigh more equally or moderately. Then using the matrix arithmetic, values of the remaining cells were calculated.

Synthesis of priorities and the measurement of consistency. After developing all the paired comparison matrices, the eigenvector or the relative weights (i.e. the degree of the relative importance amongst the elements) and the maximum eigen value (λ_{max}) are calculated for each matrix. The λ_{max} value is an important validating parameter in AHP. It is used as a reference index to screen information by calculating the consistency ratio of the estimated vector in order to validate whether the paired comparison matrix provides a completely consistent evaluation. The consistency ratio is calculated as per the following steps:

1. Calculate the eigenvector or the relative weights and for each matrix of order n .
2. Compute the consistency index (CI) for each matrix of order n as:
   $CI = (\lambda_{max} - n)/(n - 1)$.
3. The consistency ratio (CR) is calculated as:
   $CR = CI/RI$,

Where, RI is a known random consistency index obtained from a large number of simulation runs and varies according to the order of matrix. The acceptable CR value for a matrix at each level is 0.1. If CI is sufficiently small then pair-wise comparisons are believed to be consistent enough to give useful estimates of the weights. If $CI/RI < 0.10$, the degree of consistency is satisfactory. However, if $CI/RI > 0.10$, serious inconsistencies may exist and hence AHP may not yield meaningful results. The evaluation process should therefore be reviewed and improved. In our case, CI/CR were less than 01.0 for all the comparison matrices. The eigenvectors are used to calculate the global or overall weights if there is an acceptable degree of consistency for the selection criteria. Thus, we proceeded for obtaining the global/ final weights for all the 42 variables by following what may be termed as a bottom-up approach of successive multiplications.

Illustratively speaking, the local weight of a variable (e.g. "Age") in relation to the attribute "Demographic" is multiplied with the local weight of "Demographic" in relation to the parent (next level up) criterion (i.e. "Personal"), which in turn is multiplied with the local weight of its parent criterion "Antecedents" with respect to the overall goal of CEO succession. Thus, we obtain the global weights in respect of each of the 42 variables. Our results are shown in **Table 3.**

Table 3: Results of the Simulation of AHP for CEO Succession

1	Level-I 2	Level-II 3	Level-III 4	Level-IV 5	6	7
The Goal: CEO Succession	Local weights of the parent attributes	Local weights of the sub attributes	Local weights of the sub attributes	Local weights@ sub-sub/ sub-sub-sub attributes	Overall weights	Ranks
	Prior Performance (0.54)	Economic (0.49)		Market Capitalisation (0.20)	0.0526	6
				EVA (0.49)	0.1305	1
				Reserves (0.31)	0.0830	2
		Relational (0.14)		External Stakeholders (0.16)	0.0125	25
				Internal Stakeholders (0.54)	0.0412	7
				Reputational (0.30)	0.0227	14
		Knowledge (0.20)		Generic (0.56)	0.0601	4
				Industry Specific (0.32)	0.0346	8
				Functional (0.12)	0.0132	24
		Vision (0.16)		Clarity (0.39)	0.0343	9
				Credibility (0.14)	0.0124	27
				Communication (0.27)	0.0244	12
				Attractiveness (0.20)	0.0176	17
	Antecedents (0.30)	Personal (0.47)	Demographic (0.49)	Health (0.34)	0.0230	13
				Age (0.22)	0.0150	20
				Sex (0.11)	0.0077	35
				Country	0.003	43

1	Level-I 2	Level-II 3	Level-III 4	Level-IV 5	6	7
				(0.05)	3	
				Ethnic (0.07)	0.0047	41
				Length of the tenure in firm (0.21)	0.0143	21
			Psychogrpahic (0.20)	Power Orientation (0.49)	0.0134	23
				Ego (0.31)	0.0085	33
				Locus of Control (0.20)	0.0054	40
			Ethico-Moral (0.31)	Integrity (0.46)	0.0199	15
				Institution Building (0.28)	0.0121	28
				Conseving (0.11)	0.0046	42
				Caring (0.15)	0.0065	37
		Organisational (0.26)				
				Hierarchy (0.07)	0.0056	38
				Ownership structure (0.26)	0.0196	16
				Politics (0.12)	0.0093	32
				Age (0.22)	0.0167	18
				Strategy (0.18)	0.0136	22
				Talent Management	0.0117	29

1	Level-I 2	Level-II 3	Level-III 4	Level-IV 5	6	7
				(0.15)		
		Situational (0.18)		Industry Regulation (0.46)	0.0248	11
				Competition for Corporate Control (0.20)	0.0108	30
				Competition in Product Market (0.14)	0.0075	36
				Competition in the Market for Managerial Labour (0.20)	0.0108	31
		Environmental (0.09)		Economic (0.44)	0.0125	26
				Technological (0.28)	0.0079	34
				Politico-Legal (0.20)	0.0056	39
				Other (0.08)	0.0023	44
	Process (0.16)		Internal (0.50)	Linear (0.80)	0.0655	3
				Horse-race (0.20)	0.0164	19
			External (0.50)	Poaching (0.67)	0.0546	5
				Open Recruitment (0.33)	0.0273	10

Discussion. A perusal of **Table-3** shows that for CEO Succession, among the principal attributes, "Prior Performance" weighs more than the "Antecedents" and the "Process" of selecting the successor. This implies that when the firm is doing well, the issue of CEO succession does not attract much attention; it is only when the firm starts performing poorly, the CEO succession is contemplated. That the CEO performance must be evaluated on the basis of multiple criteria is evident from the fact that "Relational," "Knowledge" and "Vision" related competencies matter as well, besides "Economic" performance. The CEO relations with the internal stakeholders, especially with the fellows in the top echelon and the board of directors matter significantly.

The CEOs are valued for their "Generic" knowledge rather than functional expertise and their reputation seems to matter as well in determining their tenure. It may be noted that rather than "Market Capitalisation" Economic Value Added (EVA, that is the difference between Net Operating Profits After Taxes and the Weighted Overall Cost of Capital Employed) matters more. In evaluating CEO performance on economic criteria, his/her contribution to the accumulation of reserves for future growth matters significantly.

The simulation shows that antecedent variables account for as much as 30 per cent weight as far as the goal of CEO succession is concerned. Among the antecedent variables, personal antecedents account for nearly 50% of the weight (taking "Antecedents" as the principal attribute) with CEO "Health" and "Age" accounting for the bulk of the weight (taking "Personal" as the principal attribute).

The succession planning process does not seem to weigh as much as Antecedents and Prior Performance, yet considering it as the principal attribute, it is clear that internal and external sources of recruitment weigh the same. Linear recruitment, that is, announcing the heir apparent during the tenure of the CEO, as far as the simulation results show, is a far effective strategy than conducting a horse race. Firms are therefore advised to engage in succession planning. Greater reliance on "Poaching" as a strategy of external recruitment only shows that the markets for managerial labour are not adequately developed and that inter-firm mobility of the managerial personnel is fairly high.

Among the situational variables, "Industry Regulation" weighs fairly higher than the rest of the elements indicating that this element of the "basic conditions" directly impacts firm's conduct with regard to succession planning. This has clear implications for the regulators.

How do the individual variables fair? The top five variables impacting CEO succession are: "Economic Value Added" and "Accretion to Reserves" during the CEO's tenure; his/ her ability to groom a successor as evident from the third rank of "Linear" process of succession; his inimitable "Generic Knowledge;" and the tendency among the firms to resort to "Poaching" as a means of CEO succession.

The estimation of the global weights of the variables is a definitive step toward the development of an Empirical Measure of Corporate Preparedness for CEO Succession (EMCPCEOS) in the next phase of the research.

The limitation that for simulating the AHP, the researcher has relied upon personal experience for the pair-wise comparison can be adequately dealt with by resorting to Delphi Method of eliciting pair-wise comparisons from the experts in the area or by conducting a survey. In any case, the fact that all the comparison matrices returned a consistency score of less than the norm of 0.10 shows that one can be quite sure of the results of the study.

VIII

Concluding Observations

The paper is a maiden attempt at developing a three-pronged approach to studying the phenomenon of CEO succession in corporate sector. Drawing lessons from the case study of Axis Bank, we reformulated the S-C-P framework through innovations in the specification of the basic conditions, influence transmission mechanism extension of the conduct variables and incorporation of the principal-agent problem. Thirdly, the paper simulates the AHP with a view to eventually developing an empirical measure of corporate preparedness for CEO succession. The findings of the study have significant implications for the various stakeholders in the CEO succession process.

Quo vadis? The regulators are advised to require the companies to disclose their emergent, short-term and long-term succession plans. From the returns of the companies it should be easy to estimate "over ripe," "ripe," and "fresh" and “raw” CEOs and the reporting mechanism must account for the succession planning in the companies. Such a requirement would compel the companies to contemplate succession planning, and would help the boards to redirect any resistance on this count to the regulatory requirements.

The board nominations and remuneration committees must be entrusted with the task of fulfillment of this imperative and the board performance (rather than compliance) in this regard must be among the criteria of ascertaining board accountability. The board must structure CEO compensation in a manner that there are incentives linked to succession planning. Let this exercise be linked to the organizational processes and ethos of talent nurturing and career planning so that the company is never short of succession alternatives.

Let a sizable proportion of severance compensation be in the form of stock so that there is vested interest of the incumbent CEO to protect the performance of the shares of the company at the stock market from succession related “shocks.”

Let the knowledge-management processes serve as the internal shock absorbers vis-à-vis CEO succession. Just as the scientific management demystified “craftsmanship,” let CEO roles, responsibilities and skill-sets be researched scientifically with a view to ensuring that there are no supply side shortages.

The study has sought to model CEO succession in terms of a hierarchy of questions that should pave way for further research in the area.

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